Australian Business Conditions and Confidence, June

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By Luka Belobrajdic
Economist, Westpac

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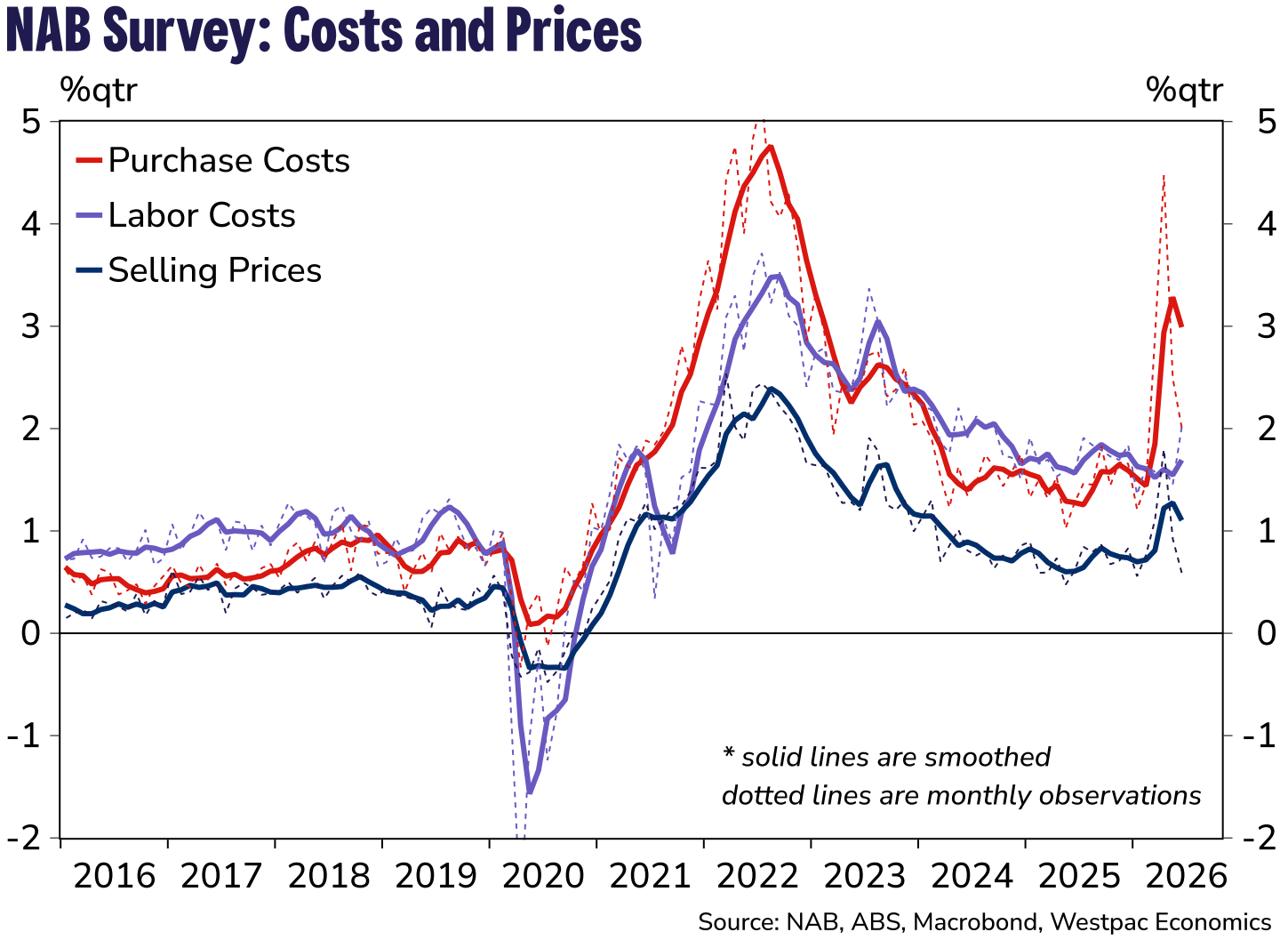
An easing in global commodity prices sees business confidence recover further in June, while conditions hold steady. Confidence +9pts to –5 / Conditions unchanged at +3.

The June NAB Business Survey was in the field from 23 June to 1 July, capturing businesses' reaction to the signing of the US-Iran Memorandum of Understanding and the subsequent pull-back in global commodity prices. Business confidence continued to recover from the sharp decline recorded in March

following the initial outbreak of the conflict between the US and Iran, rising 9pts to –5 in June. Despite the improvement, confidence remains 10pts below its long-run average, among the bottom 10% of outcomes recorded since 1997, highlighting ongoing caution around the outlook. Consumers appear to share a similar view, with concerns around a worst-case scenario for fuel prices and further rate rises easing, while sentiment remains subdued overall.

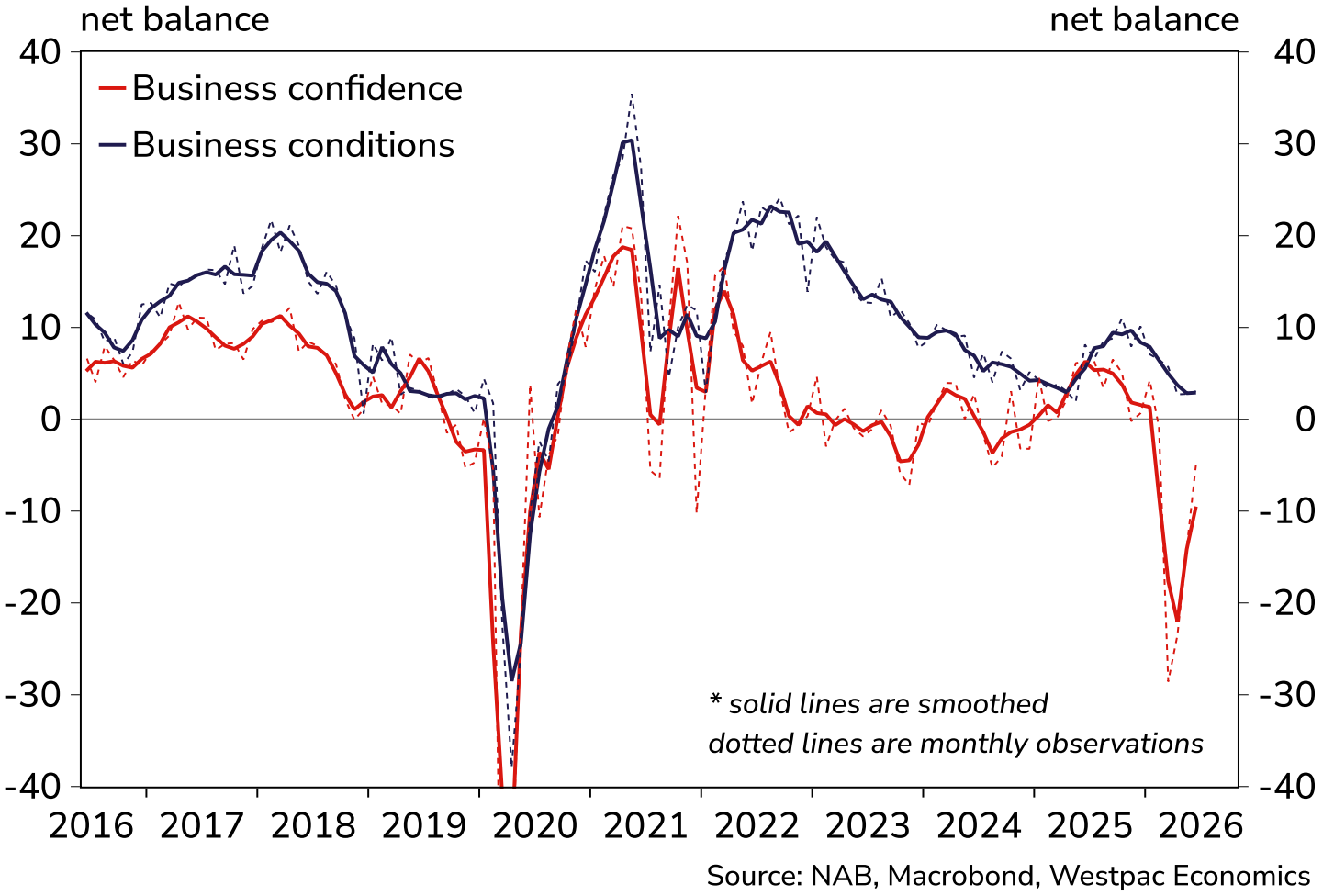
Part of the improvement in business confidence reflects a further moderation in cost pressures in June. Purchase cost growth declined by 0.5ppt to 2.0%qtr, aided by easing fuel prices after a downwardly revised 2.0ppt fall in May. While well below the 4.5%qtr peak recorded in April, purchase cost growth remains 0.8ppt above its long-run average. However, the recent flare-up between the US and Iran and subsequent rise in oil prices over the past week demonstrates that upside risks around input cost pressures remain at play. Final product price growth also moderated, falling 0.3ppt to 0.6%qtr, matching its long-run average. In contrast, labour cost growth rose by 0.5ppt, the largest increase since July 2023, to 2.0%qtr. Given the survey was in the field to 1 July, the result captures at least some of the 4.75% increase in award wages.



The headline business conditions index held steady at 3pts in June, marking a third consecutive month at that level. Conditions remain 4pts below their long-run average and well below the peak of 11pts recorded in October last year. On a three-month average basis, conditions continue to trend lower through 2026, reinforcing the view that underlying momentum has been easing.

Across the major sub-components, profitability improved modestly, rising 2pts (rounded) to 0. While this leaves the sub-index 5pts below its long-run average, it suggests the balance of firms reporting a squeeze on profit margins has eased. Trading conditions were broadly unchanged at 7pts, remaining 4pts below their long-run average. Meanwhile, the employment sub-index fell 1pt to 1, leaving it 2pts below its long-run average. The result is the weakest since June 2024 and, on a three-month average basis, points to a material slowing in labour demand, reinforcing our view that genuine weakness is emerging in the labour market.

Business conditions and confidence

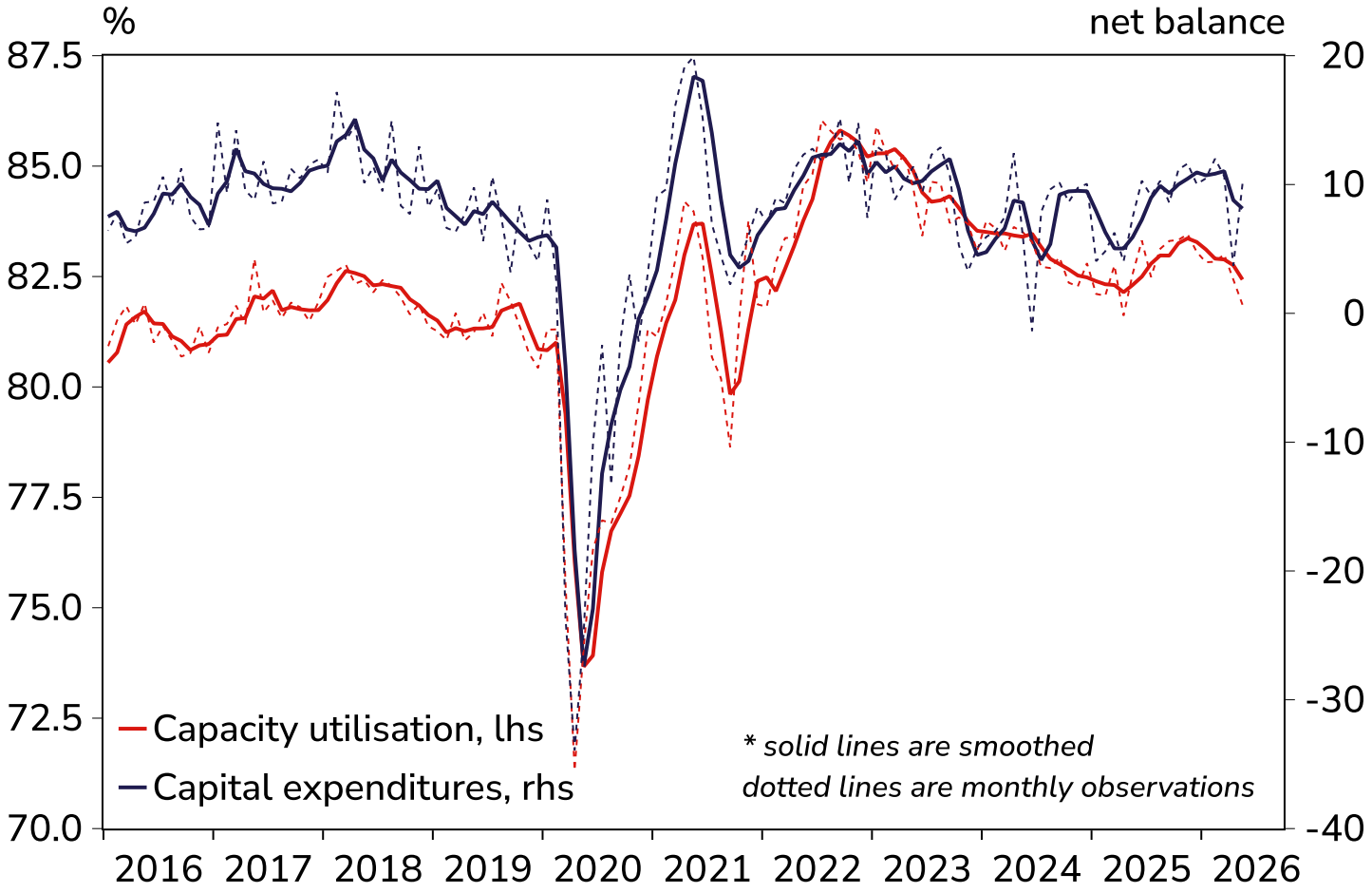


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation rose marginally to 82.0% in June. While 0.6ppt above its long-run average, the broader trend continues to point to an easing in capacity pressures since late last year. By contrast, capital expenditure fell sharply, declining 8pts to 1 – the largest monthly fall since August 2020 during the height of the COVID-19 pandemic. Looking through the recent volatility, the three-month average continues to point to a moderation in planned capital expenditure.

Among other indicators, forward orders rose 1pt to 0, continuing to recover from the weakness seen following the outbreak of the Middle East conflict. Inventories increased by 1pt to 4, likely reflecting broadly stable trading conditions.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

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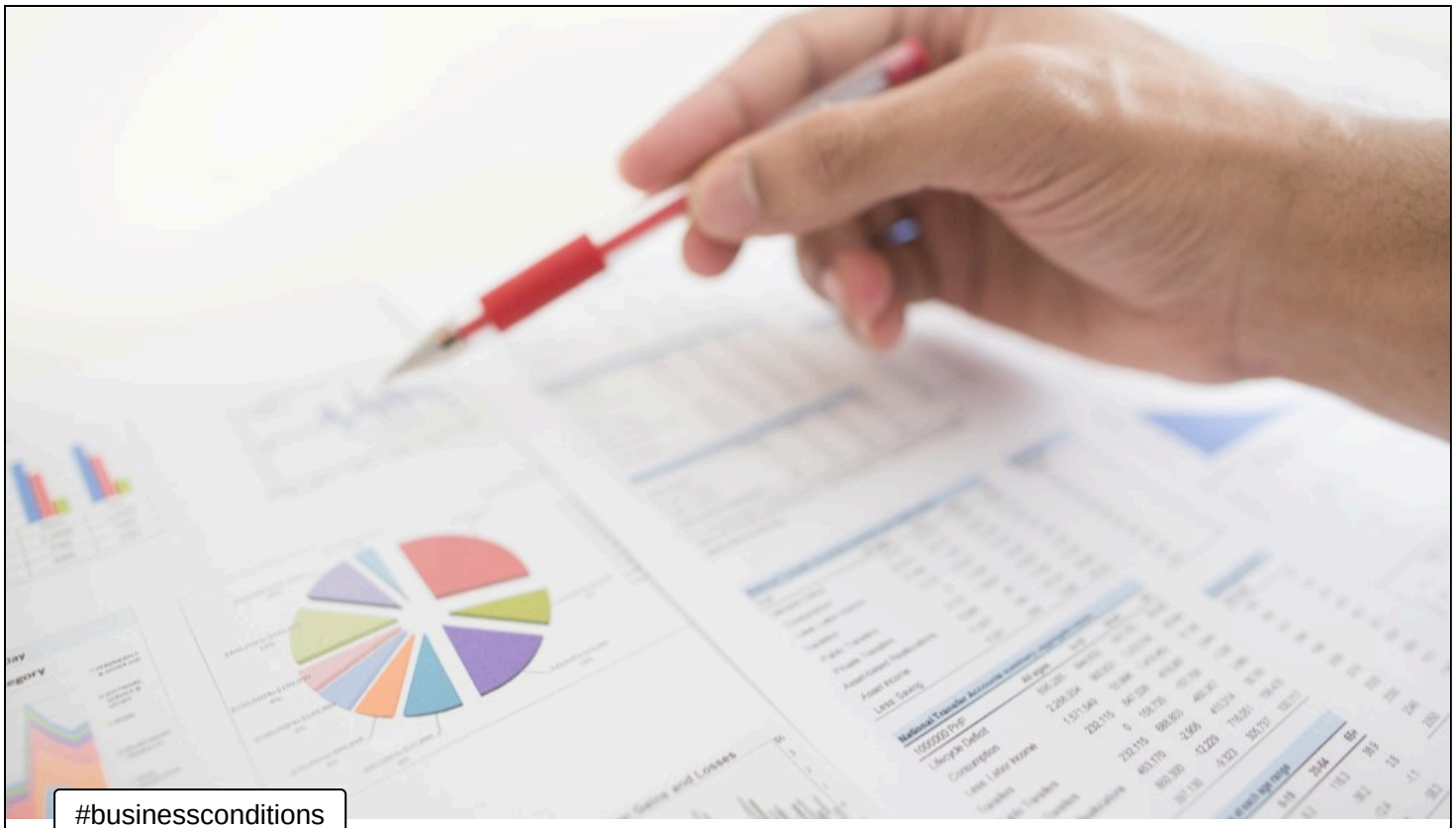

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Australian Business Conditions and Confidence, May

June 09 2026 • 5 mins

By Luka Belobrajdic

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